WEEK 1 · DAY 2

Framework

01 **Monetary Transmission Mechanism**
How shocks reach inflation

02 **FPAS Mark II Analytical Structure**
Scenarios, not baselines

03 **Risk-Adjusted UIP**
Exchange rates as shock absorbers & amplifiers

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DAY 2 · TUESDAY, JUNE 9, 2026

What You'll Learn Today

From shocks to objectives — the analytical map behind every FPAS Mark II scenario

The transmission mechanism

How financial, demand, supply, and inflation shocks move through instruments to reach the objectives.

Risk-adjusted UIP

Why exchange rates act as shock absorbers in normal times — and shock amplifiers at the ELB.

FPAS Mark II structure

Case A, Case B, and the market reference scenario as the backbone of scenario-based policy.

Scenario thinking

How policy trade-offs are framed, compared, and communicated under genuine uncertainty.

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Monetary Transmission Mechanism

Shocks → Instruments → Objectives

SHOCKS HITTING THE ECONOMY

Financial

Foreign interest rates · Portfolio shifts

Aggregate Demand

Credit conditions · Foreign demand · Commodity prices · Fiscal policy

Potential Output

Productivity, capital, labor

Inflation

Indirect taxes, energy prices

POLICY INSTRUMENTS

Conventional

- Policy rate path
- Longer-term interest rates
- Exchange rate channel

Unconventional

- Quantitative easing
- Negative rates
- Funding for credit
- Fiscal coordination

OBJECTIVES

Inflation

Near the target

Aggregate Demand

In line with capacity

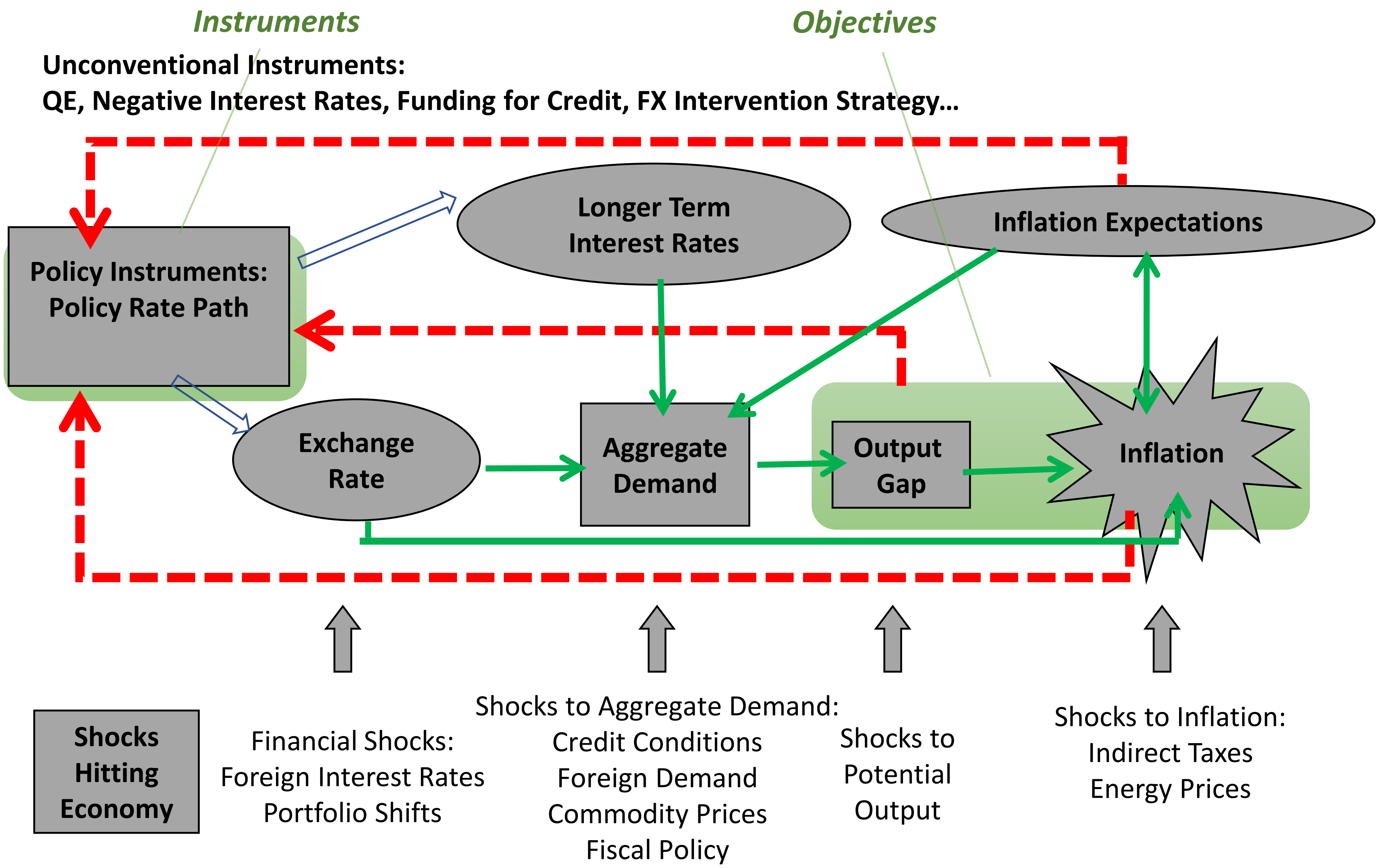
Output Gap

Near zero

Inflation Expectations

Firmly anchored

Monetary Transmission Mechanism



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Risk-Adjusted UIP

The identity behind exchange rate dynamics — and the key to transmission in open economies

Expected Domestic Interest Rates		Expected Nominal Depreciation		Foreign Rates + Risk Premium
i	$=$	Δs	$+$	$i^* + \rho$

KEY INSIGHT

Two forces must balance in every scenario

NORMAL TIMES

Policy rate cut → nominal depreciation today + real rates fall → easier monetary conditions from BOTH channels.

AT THE ELB

Rate cannot fall → inflation expectations fall → real rates rise → currency appreciates → shock gets amplified.

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Exchange Rates: Absorber or Amplifier?

The same identity produces opposite outcomes depending on policy credibility and headroom

ABSORBER

Credible Active Policy

Nominal rate ↓

Inflation expectations ↑

Real interest rates ↓

Exchange rate ↑ (depreciates)

Economy ↑

The negative demand shock is ABSORBED by both rate and exchange-rate channels.

AMPLIFIER

Perceived Passive Policy / ELB

Nominal rate unchanged (stuck)

Inflation expectations ↓

Real interest rates ↑

Exchange rate ↓ (appreciates)

Economy ↓

The shock is AMPLIFIED — Japan post-GFC is the canonical example.

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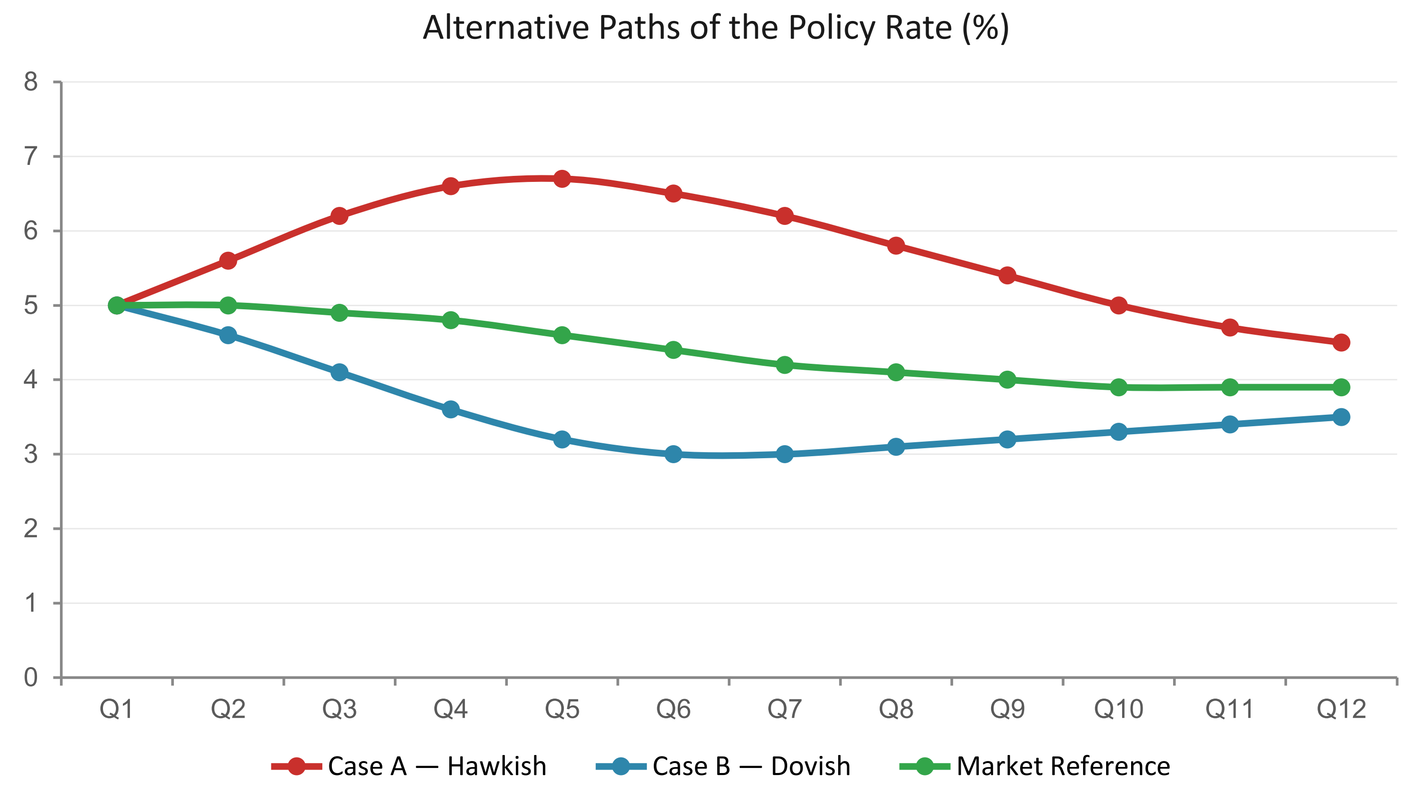
FPAS Mark II Analytical Structure

Replace the single baseline with a disciplined set of scenarios



CASE A

Hawkish

Upside inflation risk; tighter policy anchors expectations.

CASE B

Dovish

Downside demand risk; easier policy supports activity.

MARKET REF.

External Benchmark

Market-implied path; external discipline on internal analysis.

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When Elevated Uncertainty: Case X/Y

Tail-risk scenarios for dark-corner avoidance — used when uncertainty warrants them

CASE A

Hawkish Baseline

Central plausible path with upside inflation risks realised.

CASE B

Dovish Baseline

Central plausible path with downside demand risks realised.

CASE X

Upside Tail

Stagflation-type shock; anchored inflation expectations at risk.

CASE Y

Downside Tail

Severe demand collapse; ELB bites and deflation risks emerge.

A and B are always on the table. X and Y are added when the Board judges tail risks material — expanding the scenario set exactly when it matters most.

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From Scenarios to Policy Trade-offs

How scenario analysis translates into disciplined decision-making

01

Frame

Identify key risks, nonlinearities, and uncertainty drivers relevant to the decision.

02

Construct

Build internally consistent scenarios (A, B, market ref, X/Y if needed) through the QPM.

03

Compare

Evaluate policy responses across scenarios — weigh harms, regrets, and credibility risks.

04

Communicate

Present trade-offs and the reaction function, not a single best-guess forecast.

Policy decisions flow from robustness across scenarios — not optimization against a single baseline.

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Discussion & Wrap-up

Questions to take into Day 3 — where we meet the Quarterly Projection Model

KEY TAKEAWAYS FROM TODAY

- Transmission runs Shocks → Instruments → Objectives — and exchange rates matter on both sides.
- Risk-adjusted UIP explains why the same shock can be absorbed or amplified.
- FPAS Mark II operates on a scenario set (A, B, market ref; X/Y when needed), not a single baseline.
- Decisions are made by comparing policy across scenarios, under a risk-management logic.

DISCUSSION QUESTIONS

1. In your country, when has the exchange rate behaved as an amplifier rather than an absorber?
2. Which tail risks would you add to Cases X/Y today?
3. How does your current reporting communicate trade-offs — does it implicitly assume a single baseline?
4. What credibility assumptions would break if policy were perceived as passive?